PAKISTAN · ELECTRIC TWO-WHEELERS · FLEET

Fuel eats up to 71% of a Pakistani delivery rider's income. We can take that to almost nothing.

An electric bike repays its entire price premium in **four to six months** from fuel savings alone — with no government subsidy, at the worst electricity tariff in the country. This is not a bet on policy or on consumer sentiment. It is arithmetic that already works.

PKR 17,841

WHAT A DELIVERY RIDER SPENDS ON PETROL EVERY MONTH — AGAINST EARNINGS OF PKR 25,000–60,000.
THE SAME DISTANCE ON ELECTRICITY COSTS PKR 1,736.

THE PROBLEM

The most expensive thing a rider owns is the fuel, not the bike

A Pakistani delivery rider covers **80 km a day, 26 days a month**. At PKR 343 a litre on a bike returning 40 km/l, that is roughly **PKR 686–800 every single day**, gone.

> **Between a third and three-quarters of everything they earn is burned as petrol. Nothing else in their cost base comes close — and fuel has moved 3.4% in three weeks.**

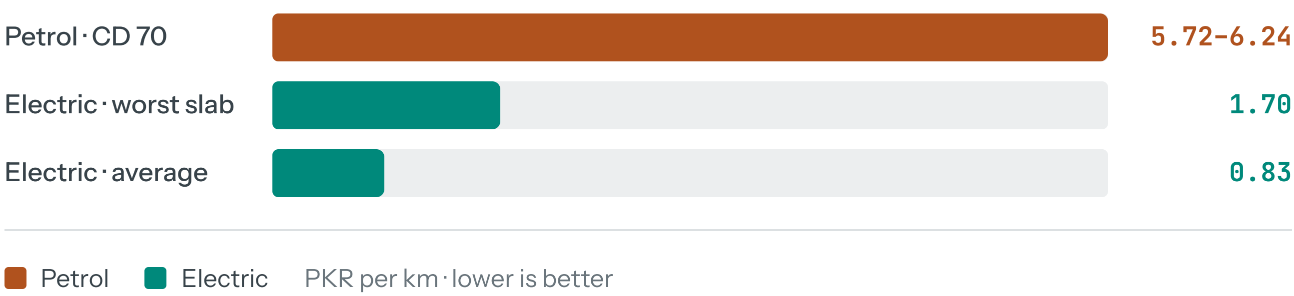
This is why the fleet segment converts on economics rather than on brand, marketing or novelty. The customer is not choosing a lifestyle. They are recovering their wages.

THE PROOF

The unit economics, and why they hold under pressure

Cost to travel one kilometre

Honda CD 70 at PKR 343.10/l vs an electric equivalent at 2.5 kWh/100 km, across Pakistan's domestic tariff slabs



4–6
MONTHS TO FULL PAYBACK

PKR 13,900
SAVED PER RIDER PER MONTH

7×
CHEAPER PER KM, AVERAGE TARIFF

Zero
SUBSIDY REQUIRED

WHY WE TRUST THIS NUMBER

We stress-tested it rather than modelled it once. It survives the **worst domestic electricity tariff in Pakistan**, a battery replaced **every 15 months at PKR 60,000**, and the complete removal of every government incentive. Under all three at once it still saves money. The only inputs are the price of petrol and the price of a unit of electricity.

THE MARKET

A record two-wheeler market, with electric compounding inside it

1.93m	+173%	90,000	50,000+
MOTORCYCLES SOLD FY26 · RECORD	ELECTRIC 2W GROWTH · H1 2026	ELECTRIC 2W SOLD APR–JUN 2026 ALONE	KNOWN FLEET RIDERS · FOODPANDA & BYKEA

A single quarter of 2026 came within a fifth of the whole of 2025. The total motorcycle market is at an all-time high and growing 33.8% — **electric is taking a fast-growing share of a fast-growing base.**

> **We do not need the market to be large. We need a few hundred machines placed with operators who count fuel — under 1% of the riders we can already name.**

THE WEDGE

We are not building a consumer brand. That is the point.

Pakistan's motorcycle market is effectively a monopoly: **Atlas Honda holds roughly 88% on 1.69 million units a year**, with 500+ dealers and 63 service points, and it has already launched an electric scooter. Any plan that requires beating it on brand, showroom reach or consumer trust loses.

So we are not attempting that. The fleet channel is a different business with a different buyer, and it is one the incumbent has publicly declined to build for — its stated position is that existing facilities are sufficient for expected EV demand. *A factory is not a service network, and it is certainly not a battery-swap network.*

Consumer — the losing game

- Won on brand, trust and dealer proximity
- Millions of dispersed buyers; heavy retail spend
- Payback 13–18 months without subsidy
- Competes head-on with an 88% incumbent

Fleet — where we play

- Won on **arithmetic**, verifiable in a spreadsheet
- **Dozens of operators**, no retail network required
- Payback **4–6 months**, no subsidy needed
- Targets what the incumbent **says it will not fund**

THE RECURRING REVENUE IS IN THE BATTERY, NOT THE MACHINE

The world's largest maker earns **28.4% of its revenue from batteries and chargers** — it sells more batteries than vehicles. In a fleet model with swapping, that revenue accrues to the operator rather than being exported. Riders on swap networks elsewhere complete **20–40% more deliveries and earn 15–35% more**, because they stop waiting to charge.

THE MODEL

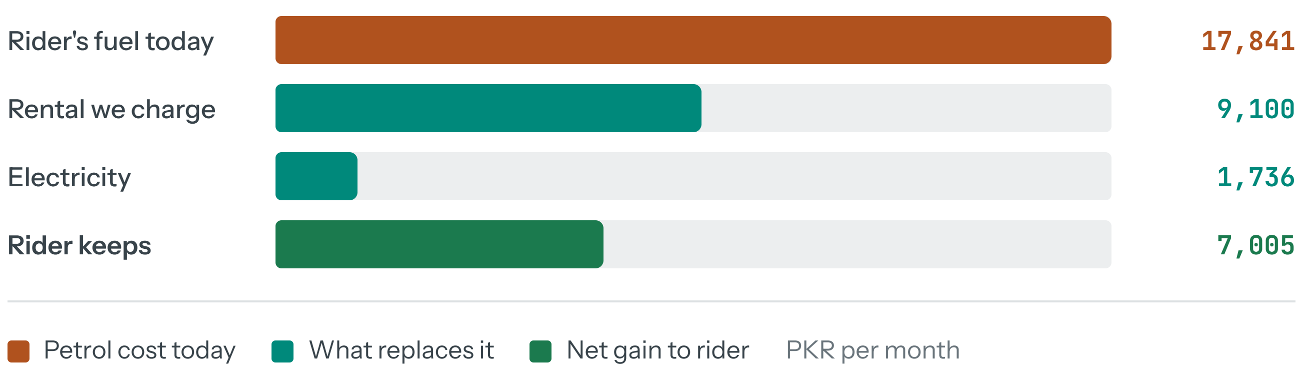
The rider never buys. That is what makes it work.

The obvious objection to selling electric bikes to delivery riders is that they cannot afford one. It is a real objection, and it disappears the moment you stop trying to sell them one.

> **A rider does not need savings. They need a payment smaller than what they are already spending on petrol — and that gap is PKR 619 every working day.**

Rent at PKR 350/day — both sides gain from day one

Against the PKR 619/day of headroom created by replacing petrol with electricity



PKR 7,005
RIDER IS BETTER OFF · EVERY MONTH

PKR 9,100
WE COLLECT · PER MACHINE PER MONTH

13–20
MONTHS TO RECOVER THE ASSET

Zero
DEPOSIT, SAVINGS OR CREDIT HISTORY NEEDED

THE COLLECTION MECHANISM IS THE WHOLE TRICK

We do not chase riders for money. **The delivery platform deducts the daily rate from rider earnings before payout.** That turns thousands of informal-worker credit exposures into **a single business receivable from a funded company** — a completely different risk profile, and the difference between a lending business and a supply business. GPS and remote immobiliser back it up.

AND IT IS A PROVEN MODEL, NOT A THEORY

Zypp Electric in India runs exactly this — daily rental to delivery riders converting to ownership at 52 weeks, **20,000+ vehicles** deployed across Swiggy, Zomato, Blinkit, Zepto, Uber and Rapido riders, on **US$76.5m raised** from ENEOS, Gogoro and Anthill. Same duty cycle, same affordability constraint, same customer.

WHAT THIS TRADES AWAY — STATED HONESTLY

Rental locks capital for **13–20 months per machine** where an outright sale would recover it immediately. In exchange we get recurring revenue, the battery margin, and control of the thing that decides success — uptime. **This becomes an asset-finance business with a supply arm, not a distribution business**, and it should be funded as one.

It also depends on a platform agreeing to deduct at source. **No platform has been approached.** That is the first conversation, ahead of suppliers and banks.

WHY US

The work behind this is not a market report

1 **Read from audited filings, not trade press**

Five annual reports read directly — Yadea, Aima, Xinri, Luyuan and NIU. Where a filing contradicted the press, the filing won. That reversed a conclusion we had already drawn.

2 **Found that Chinese "global" makers barely export**

Aima's overseas revenue is **0.86% of turnover and falling**. NIU ships ~2,000 units per foreign market. It tells us precisely which partners can actually support a distant buyer — and which cannot.

3 Traced the regulation to primary source

PCT 8711.6040, the 1% duty line, the Fifth Schedule gate, the EDB certification requirement written for combustion engines, and the **30 June 2027 sunset** — read from FBR and Ministry documents, not summaries.

4 Studied the market that already failed

India ran this exact cycle. We know what killed the entrants — **service and spare parts, not price** — and have designed around it rather than discovering it later.

RISKS, STATED PLAINLY

What could go wrong, and what we are doing about it

RISK	WHY IT MATTERS	MITIGATION
Service & spare parts	Destroyed India's largest player from 50% share. For a fleet, uptime *is* the product.	Service capacity funded before volume, not after. Fleet concentration makes it tractable — dozens of sites, not hundreds.
Battery chemistry	Lead-acid dies in **8–13 months** at fleet duty cycles in Pakistani heat.	Lithium only. Both chemistries pay back alike, so this costs nothing and removes the failure mode.
Policy withdrawal	Duty concessions **sunset 30 June 2027**; successor policy unapproved.	The model is built to work with **zero** concessions. Any support is upside, never the basis.
Currency	PKR volatility hits any import business directly.	Short order cycles, low inventory, price pass-through in fleet contracts. `to be modelled`

RISK	WHY IT MATTERS	MITIGATION
Rider affordability	A rider on PKR 35,000/month cannot pay PKR 248,500 upfront.	**Solved by structure — the rider never buys.** Daily rental priced below their existing fuel spend. See below.
Incumbent response	Atlas Honda could enter fleet directly.	It has stated it will not invest further in EV capability. We monitor rather than assume.

THREE THINGS THIS ANALYSIS CANNOT YET PROVE

No supplier, bank or delivery platform has been contacted. We do not yet know whether a manufacturer will supply at our scale, whether a letter of credit can be opened on current terms, or whether an enforceable battery warranty exists. **These are the first things funded, not assumptions we are asking anyone to accept.**

THE ASK

What the first tranche buys

`amount` RAISING	`%` FOR	`months` RUNWAY TO MILESTONE

NOT YET FILLED IN — DELIBERATELY

The raise amount, valuation and runway are **not stated because they have not been decided**. Founder capacity is roughly PKR 50m of risk capital; the working assumption is a first placement of a few hundred machines, needing well under 1% of the fleet riders already identified. **Any figure here would be invented, and inventing one is how pitches lose credibility.**

1 **Close the three open gates**

Supplier terms and MOQ, letter-of-credit availability, and an enforceable battery warranty. Weeks, not months — and any one of them can stop the project cheaply.

2 **Agree earnings-deduction with a delivery platform**

The collection mechanism the whole model rests on. Until a platform agrees to deduct at source, this is an unsecured lending business rather than a supply one.

3 **Sign one fleet operator to a pilot**

A defined cohort of riders on measured routes. The unit economics are either confirmed in the field or they are not.

4 **Prove service before scaling**

Parts depth, technician training and swap logistics stood up for the pilot fleet. India's lesson is that this must precede volume, never follow it.

5 **Then, and only then, scale placements**

With measured uptime, real claim rates and a proven cost per km — numbers no competitor entering later will have.

IN ONE LINE

> **Pakistan's riders are burning a third to three-quarters of their income as petrol. The replacement pays for itself in under six months without a rupee of subsidy. We are not fighting for the showroom — we are supplying the people who count the fuel.**

Basis of preparation. Figures are drawn from audited company filings (Yadea 1585.HK, Aima 603529.SH, Xinri 603787.SH, Luyuan 2451.HK, Niu Technologies Form 20-F), Pakistani primary regulation (NEV Policy 2025-30, FBR Budget 2026-27, SRO 656(I)/2006, AIDEP 2021-26, NEPRA SRO 279(I)/2026), and published market and pricing data. Pakistani market volumes are press-reported and not yet confirmed against PAMA's own filings.

This is a research summary, not an offer. No supplier, bank, platform or regulator has been contacted; availability judgements are inference from public evidence. No financial projections, traction or commitments are presented, because none exist yet. Petrol at PKR 343.10/l verified 25 August 2026; a press figure of PKR 414–415 remains unreconciled. Prospective investors should conduct independent verification.

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